
MOODY'S



Second Quarter 2014 Earnings Call

July 25, 2014

Overview

SALLI SCHWARTZ

GLOBAL HEAD OF INVESTOR RELATIONS

Agenda

1. Second Quarter 2014 Results

Ray McDaniel, President and Chief Executive Officer

2. Financial and Operating Highlights

Linda Huber, Executive Vice President and Chief Financial Officer

3. 2014 Outlook

Ray McDaniel, President and Chief Executive Officer

4. Q&A

Ray McDaniel, President and Chief Executive Officer

Linda Huber, Executive Vice President and Chief Financial Officer

Michel Madelain, President and Chief Operating Officer, Moody's Investors Service

Mark Almeida, President, Moody's Analytics

Disclaimer

Certain statements contained in this presentation are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. Moody's outlook for 2014 and other forward-looking statements in this presentation are made as of July 25, 2014, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, the current world-wide credit market disruptions and economic slowdown, which is affecting and could continue to affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including credit quality concerns, changes in interest rates and other volatility in the financial markets; the level of merger and acquisition activity in the US and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government initiatives to respond to the current world-wide credit disruptions and economic slowdown; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Dodd-Frank Wall Street Reform and Consumer Protection Act and anticipated regulations resulting from that Act; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation to which the Company may be subject from time to time; provisions in the Dodd-Frank Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; the outcome of those legacy tax matters and legal contingencies that relate to the Company, its predecessors and their affiliated companies for which Moody's has assumed portions of the financial responsibility; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; the levels of capital investments; a decline in the demand for credit risk management tools by financial institutions; and other risk factors as discussed in the Company's annual report on Form 10-K for the year ended December 31, 2013 and in other filings made by the Company from time to time with the Securities and Exchange Commission.

1. Second Quarter 2014 Results

RAY MCDANIEL

PRESIDENT AND CHIEF EXECUTIVE OFFICER

Second Quarter 2014 Results and Comparison to Second Quarter 2013

Moody's Corporation

» Revenue	↑ 16% to \$874 million
» Expenses	↑ 14% to \$462 million
» Operating Income	↑ 17% to \$412 million
» Adjusted Operating Income	↑ 16% to \$434 million
» GAAP EPS	↑ 48% to \$1.48 (includes 2Q ICRA gain)*
» Non-GAAP EPS	↑ 12% to \$1.12 (excludes 2Q ICRA gain)*

*On June 26, 2014, Moody's increased its stake in ICRA from 28.5 percent to more than 50 percent. U.S. GAAP requires a re-measurement to fair value of non-controlling shares when a controlling interest is obtained. As a result of the transaction, Moody's recorded a gain of \$0.36 per share in the second quarter of 2014. Non-GAAP EPS of \$1.12, which excludes the ICRA gain, increased 12 percent from \$1.00 in the prior year period.

Year-to-Date 2014 Performance and Comparison to Year-to-Date 2013

Moody's Corporation

» Revenue	↑ 10% to \$1.6 billion
— MIS	↑ 8% to \$1.1 billion
— MA	↑ 15% to \$493 million
» Operating Expenses	↑ 5% to \$896 million
» Operating Income*	↑ 18% to \$745 million
» Adjusted Operated Income*	↑ 17% to \$790 million
» GAAP EPS**	↑ 35% to \$2.47
» Non-GAAP EPS***	↑ 7% to \$2.11

* Includes first quarter 2013 litigation settlement

** GAAP EPS includes the Q2 14 ICRA Gain as well as the Q1 13 litigation settlement

*** Non-GAAP EPS excludes the Q2 14 ICRA Gain as well as the Q1 13 litigation settlement

2. Financial and Operating Highlights

LINDA HUBER

EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

Moody's Corporation Revenue

- MOODY'S

Second Quarter 2014 Results and Comparison to Second Quarter 2013

MIS Revenue by Geography

- | | |
|-------------|------------------------|
| » Total MIS | ↑ 16% to \$622 million |
| » U.S. | ↑ 13% to \$353 million |
| » Non-U.S. | ↑ 20% to \$269 million |
| | • 43% of Total MIS |

Second Quarter 2014 Results and Comparison to Second Quarter 2013

MIS Revenue by Line of Business

» Corporate Finance: \$321 million

- Global ↑ 22%
- U.S. ↑ 20%
- Non-U.S. ↑ 24%

» Structured Finance: \$111 million

- Global ↑ 14%
- U.S. ↑ 17%
- Non-U.S. ↑ 8%

Second Quarter 2014 Results and Comparison to Second Quarter 2013

MIS Revenue by Line of Business

» Financial Institutions: \$92 million

- Global ↑ 9%
- U.S. ↓ 4%
- Non-U.S. ↑ 19%

» Public, Project & Infrastructure Finance: \$98 million

- Global ↑ 6%
- U.S. ↓ 2%
- Non-U.S. ↑ 21%

Second Quarter 2014 Results and Comparison to Second Quarter 2013

MA Revenue by Geography

- » Total MA ↑ 15% to \$252 million
- » U.S. ↑ 14% to \$109 million
- » Non-U.S. ↑ 16% to \$143 million
 - 57% of Total MA

Second Quarter 2014 Results and Comparison to Second Quarter 2013

MA Revenue by Line of Business

» RD&A: \$145 million

- Global ↑ 11%
 - 57% of total MA revenue
- U.S. ↑ 9%
- Non-U.S. ↑ 13%

» ERS: \$67 million

- Global ↑ 12%
- U.S. ↑ 13%
- Non-U.S. ↑ 11%
- TTM* Revenue ↑ 8%
- TTM* Sales ↑ 15%

*Trailing twelve months

Second Quarter 2014 Results and Comparison to Second Quarter 2013

MA Revenue by Line of Business

» Professional Services: \$40 million

- Global ↑ 41%
- U.S. ↑ 67%
- Non-U.S. ↑ 33%

Moody's Corporation

- Second Quarter 2014 Earnings Call, July 25, 2014 16

Capital Allocation

- » During 2Q14, repurchased 3.2 million shares at a total cost of \$258.1 million, or an average of \$80.39, and issued 0.7 million shares under our annual employee stock-based compensation plans
- » Shares outstanding totaled 211.2 million as of June 30, 2014
 - 4% decline from June 30, 2013
- » \$1.3 billion of share repurchase authority remains as of June 30, 2014

Balance Sheet and Free Cash Flow

- » As of June 30, 2014, Moody's had:
 - \$2.1 billion of outstanding debt
 - \$1.0 billion of additional debt capacity under its revolving credit facility
 - Total cash, cash equivalents, restricted cash and short-term investments of \$2.0 billion
 - 69% of total cash holdings were maintained outside the U.S.

- » Free cash flow of \$419 million in the first half of 2014 increased \$68 million, or 19%, from the same period a year ago

- » On July 7, 2014, Moody's issued a total of \$750 million of debt including \$450 million of 5-year notes with a coupon of 2.75 percent and \$300 million of 30-year notes with a coupon of 5.25 percent

3. 2014 Outlook

RAY MCDANIEL

PRESIDENT AND CHIEF EXECUTIVE OFFICER

Changes to MCO 2014 Full-Year Financial Outlook*

- » Revenue
 - ↑ low-double-digit % range
- » Expenses
 - ↑ high-single-digit % range
- » Non-GAAP EPS
 - \$3.90 to \$4.00
 - includes costs related to our acquisitions of a majority stake in ICRA and of WebEquity, additional incentive compensation, and financing costs associated with our July 2014 bond deal

* Refer to “Moody’s Corporation Reports Results for Second Quarter 2014” press release for a full review of guidance

© 2006 The Authors
 Journal compilation © 2006 Blackwell Publishing Ltd

- | | |
|--------------------------|--|
| » Global | ↑ high-single-digit % range |
| » U.S. | ↑ mid-single-digit % range |
| » Non-U.S. | ↑ low-teens % range |
| » Corporate Finance | ↑ low-double-digit % range |
| » Structured Finance | ↑ approximately 10% |
| » Financial Institutions | ↑ low-single-digit % range |
| » ICRA | <ul style="list-style-type: none">• will contribute approximately \$12 million of revenue to MIS in 4Q14 |

Changes to MA 2014 Full-Year Financial Outlook*

- » Global Revenue ↑ mid-teens % range
- » Enterprise Risk Solutions ↑ mid-teens % range
- » Professional Services ↑ approximately 40%

* Refer to “Moody’s Corporation Reports Results for Second Quarter 2014” press release for a full review of guidance

4. Q&A Session

» Ray McDaniel

President and Chief Executive Officer, Moody's Corporation

» Linda Huber

Executive Vice President and Chief Financial Officer, Moody's Corporation

» Michel Madelain

President and Chief Operating Officer, Moody's Investors Service

» Mark Almeida

President, Moody's Analytics

Investor Day 2014

MOODY'S

Save the Date

Moody's Investor Day 2014

Tuesday, September 30, 2014

Moody's Corporation is holding its annual Investor Day. Located at 7 World Trade Center in New York, this event will feature presentations from our management team and showcase important aspects of our business.

Additional details to follow.

Replay Details

» Available from 3:30pm (Eastern Time) July 25, 2014 until 3:30pm (Eastern Time) August 23, 2014

» Telephone Details:

- U.S. +1-888-203-1112
- Non-U.S. +1-719-457-0820
- Passcode 2109596

» Webcast Details:

- Go to <http://ir.moody's.com>
- Click on “Events & Presentations” featured on the left
- Click on the link for “2Q 2014 Earnings Conference Call”

Appendix

Consolidated Statements of Operations

(Unaudited)

	Three Months Ended June 30,		Six Months Ended June 30,	
	2014	2013	2014	2013
<i>Amounts in millions, except per share amounts</i>				
Revenue	\$ 873.5	\$ 756.0	\$ 1,640.7	\$ 1,487.8
Expenses:				
Operating	222.1	197.1	438.1	397.9
Selling, general and administrative	217.4	185.0	412.5	412.0
Depreciation and amortization	22.3	23.1	45.4	46.7
Total expenses	461.8	405.2	896.0	856.6
Operating income	411.7	350.8	744.7	631.2
Non-operating (expense) income, net				
Interest (expense) income, net	(26.0)	(21.7)	(49.8)	(43.7)
Other non-operating (expense) income, net	(3.3)	7.7	(0.9)	16.5
ICRA Gain	102.8	-	102.8	-
Total non-operating (expense) income, net	73.5	(14.0)	52.1	(27.2)
Income before provision for income taxes	485.2	336.8	796.8	604.0
Provision for income taxes	160.8	108.4	250.7	184.5
Net income	324.4	228.4	546.1	419.5
Less: net income attributable to noncontrolling interests	5.2	2.9	8.9	5.6
Net income attributable to Moody's Corporation	\$ 319.2	\$ 225.5	\$ 537.2	\$ 413.9
Earnings per share attributable to Moody's common shareholders				
Basic	\$ 1.51	\$ 1.01	\$ 2.52	\$ 1.86
Diluted	\$ 1.48	\$ 1.00	\$ 2.47	\$ 1.83
Weighted average number of shares outstanding				
Basic	212.0	222.3	213.0	222.8
Diluted	215.7	226.2	217.1	226.7

Supplemental Revenue Information

(Unaudited)

	Three Months Ended June 30,		Six Months Ended June 30,	
<i>Amounts in millions</i>	2014	2013	2014	2013
Moody's Investors Service				
Corporate Finance	\$ 320.9	\$ 262.9	\$ 585.3	\$ 521.2
Structured Finance	110.6	97.2	205.9	190.2
Financial Institutions	92.2	84.5	177.6	171.0
Public, Project and Infrastructure Finance	98.0	92.7	178.7	176.1
Intersegment royalty	21.9	19.0	43.4	37.9
Sub-total MIS	643.6	556.3	1,190.9	1,096.4
Eliminations	(21.9)	(19.0)	(43.4)	(37.9)
Total MIS revenue	621.7	537.3	1,147.5	1,058.5
Moody's Analytics				
Research, Data and Analytics	144.7	130.3	285.6	259.9
Enterprise Risk Solutions	67.2	60.2	127.0	113.2
Professional Services	39.9	28.2	80.6	56.2
Intersegment revenue	3.3	2.7	6.6	5.5
Sub-total MA	255.1	221.4	499.8	434.8
Eliminations	(3.3)	(2.7)	(6.6)	(5.5)
Total MA revenue	251.8	218.7	493.2	429.3
Total Moody's Corporation revenue	\$ 873.5	\$ 756.0	\$ 1,640.7	\$ 1,487.8
Moody's Corporation revenue by geographic area				
United States	\$ 461.1	\$ 408.4	\$ 886.7	\$ 818.3
International	412.4	347.6	754.0	669.5
	\$ 873.5	\$ 756.0	\$ 1,640.7	\$ 1,487.8

Non-Operating (Expense) Income, Net

	Three Months Ended June 30,		Six Months Ended June 30,	
	2014	2013	2014	2013
<i>Amounts in millions</i>				
Interest (expense) / income, net:				
Expense on borrowings	\$ (25.6)	\$ (20.5)	\$ (51.7)	\$ (41.5)
Income	1.7	1.2	3.3	2.4
UTPs and other tax related liabilities	(2.1)	(2.4)	(1.5)	(4.6)
Capitalized	-	-	0.1	-
Total interest (expense) income, net	<u>\$ (26.0)</u>	<u>\$ (21.7)</u>	<u>\$ (49.8)</u>	<u>\$ (43.7)</u>
Other non-operating (expense) income, net:				
FX (loss) gain	\$ (7.1)	\$ 5.3	\$ (6.1)	\$ 12.7
Joint venture income	3.5	3.2	5.3	4.9
Other	0.3	(0.8)	(0.1)	(1.1)
Other non-operating income (expense), net	<u>(3.3)</u>	<u>7.7</u>	<u>(0.9)</u>	<u>16.5</u>
ICRA Gain	102.8	-	102.8	-
Total non-operating (expense) income, net	<u>\$ 73.5</u>	<u>\$ (14.0)</u>	<u>\$ 52.1</u>	<u>\$ (27.2)</u>

Selected Consolidated Balance Sheet Data (Unaudited)

	June 30, 2014	December 31, 2013
<i>Amounts in millions</i>		
Cash and cash equivalents	\$ 1,777.3	\$ 1,919.5
Short-term investments	182.0	186.8
Total current assets	2,944.3	2,968.8
Non-current assets	1,840.3	1,426.3
Total assets	4,784.6	4,395.1
Total current liabilities	1,093.4	1,141.3
Total debt ⁽¹⁾	2,104.5	2,101.8
Other long-term liabilities	790.2	724.1
Total shareholders' equity	673.9	347.9
Redeemable noncontrolling interest*	122.6	80.0
Total liabilities, redeemable noncontrolling interest and shareholders' equity	4,784.6	4,395.1
Actual number of shares outstanding	211.2	214.0

* Represents a noncontrolling interest related to the November 2011 acquisition of Copal Partners

The Company's balance sheet data at June 30, 2014 is subject to reclassifications based on finalization of the purchase accounting for the acquisition of ICRA.

	June 30, 2014	December 31, 2013
⁽¹⁾ Total debt consists of the following:		
Series 2005-1 Notes due 2015 ^(a)	\$ 308.7	\$ 310.3
Series 2007-1 Notes due 2017	300.0	300.0
2010 Senior Notes due 2020 ^(b)	501.8	497.8
2012 Senior Notes due 2022 ^(c)	496.6	496.5
2013 Senior Notes due 2024 ^(d)	497.4	497.2
Total debt	<u>\$ 2,104.5</u>	<u>\$ 2,101.8</u>

^(a) Includes an \$8.7 million and a \$10.3 million fair value adjustment on an interest rate hedge at June 30, 2014 and December 31, 2013, respectively

^(b) Represents \$500 million of 5.5% publicly traded Senior Notes which mature on September 1, 2020; the notes were offered to the public at 99.374% of the face amount and include a \$3.9 million fair value adjustment on an interest rate hedge at June 30, 2014

^(c) Represents \$500 million of 4.5% publicly traded Senior Notes which mature on September 1, 2022; the notes were offered to the public at 99.218% of the face amount

^(d) Represents \$500 million of 4.9% publicly traded Senior Notes which mature on February 15, 2024; the notes were offered to the public at 99.431% of the face amount

Financial Information by Segment

	Three Months Ended June 30,							
	2014				2013			
	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	\$ 643.6	\$ 255.1	\$ (25.2)	\$ 873.5	\$ 556.3	\$ 221.4	\$ (21.7)	\$ 756.0
Operating, selling, general and administrative expense	268.9	195.8	(25.2)	439.5	236.2	167.6	(21.7)	382.1
Adjusted operating income	374.7	59.3	-	434.0	320.1	53.8	-	373.9
Depreciation and amortization	11.4	10.9	-	22.3	11.5	11.6	-	23.1
Operating income	\$ 363.3	\$ 48.4	\$ -	\$ 411.7	\$ 308.6	\$ 42.2	\$ -	\$ 350.8
Adjusted operating margin	58.2%	23.2%	-	49.7%	57.5%	24.3%	-	49.5%
Operating margin	56.4%	19.0%	-	47.1%	55.5%	19.1%	-	46.4%

	Six Months Ended June 30,							
	2014				2013			
	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	\$ 1,190.9	\$ 499.8	\$ (50.0)	\$ 1,640.7	\$ 1,096.4	\$ 434.8	\$ (43.4)	\$ 1,487.8
Operating, selling, general and administrative expense	514.6	386.0	(50.0)	850.6	520.5	332.8	(43.4)	809.9
Adjusted operating income	676.3	113.8	-	790.1	575.9	102.0	-	677.9
Depreciation and amortization	22.8	22.6	-	45.4	22.8	23.9	-	46.7
Operating income	\$ 653.5	\$ 91.2	\$ -	\$ 744.7	\$ 553.1	\$ 78.1	\$ -	\$ 631.2
Adjusted operating margin	56.8%	22.8%	-	48.2%	52.5%	23.5%	-	45.6%
Operating margin	54.9%	18.2%	-	45.4%	50.4%	18.0%	-	42.4%

Transaction and Relationship Revenue

	Three Months Ended June 30,					
	2014			2013		
	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	\$ 238.5 74%	\$ 82.4 26%	\$ 320.9 100%	\$ 195.4 74%	\$ 67.5 26%	\$ 262.9 100%
Structured Finance	70.0 63%	40.6 37%	110.6 100%	58.9 61%	38.3 39%	97.2 100%
Financial Institutions	32.5 35%	59.7 65%	92.2 100%	30.7 36%	53.8 64%	84.5 100%
Public, Project and Infrastructure Finance	61.8 63%	36.2 37%	98.0 100%	58.6 63%	34.1 37%	92.7 100%
Total MIS	\$ 402.8 65%	\$ 218.9 35%	\$ 621.7 100%	\$ 343.6 64%	\$ 193.7 36%	\$ 537.3 100%
Moody's Analytics	\$ 58.7 23%	\$ 193.1 77%	\$ 251.8 100%	\$ 45.0 21%	\$ 173.7 79%	\$ 218.7 100%
Total Moody's Corporation	\$ 461.5 53%	\$ 412.0 47%	\$ 873.5 100%	\$ 388.6 51%	\$ 367.4 49%	\$ 756.0 100%

Refer to "Moody's Corporation Reports Results for Second Quarter 2014" press release for table details

Transaction and Relationship Revenue (continued)

	Six Months Ended June 30,					
	2014			2013		
	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	\$ 426.4 73%	\$ 158.9 27%	\$ 585.3 100%	\$ 392.0 75%	\$ 129.2 25%	\$ 521.2 100%
Structured Finance	125.7 61%	80.2 39%	205.9 100%	113.9 60%	76.3 40%	190.2 100%
Financial Institutions	61.5 35%	116.1 65%	177.6 100%	63.9 37%	107.1 63%	171.0 100%
Public, Project and Infrastructure Finance	104.8 59%	73.9 41%	178.7 100%	109.2 62%	66.9 38%	176.1 100%
Total MIS	\$ 718.4 63%	\$ 429.1 37%	\$ 1,147.5 100%	\$ 679.0 64%	\$ 379.5 36%	\$ 1,058.5 100%
Moody's Analytics	\$ 113.7 23%	\$ 379.5 77%	\$ 493.2 100%	\$ 86.4 20%	\$ 342.9 80%	\$ 429.3 100%
Total Moody's Corporation	\$ 832.1 51%	\$ 808.6 49%	\$ 1,640.7 100%	\$ 765.4 51%	\$ 722.4 49%	\$ 1,487.8 100%

Refer to "Moody's Corporation Reports Results for Second Quarter 2014" press release for table details

Non-GAAP Financial Measures

	Three Months Ended June 30,		Six Months Ended June 30,	
	2014	2013	2014	2013
Diluted EPS - GAAP	\$ 1.48	\$ 1.00	\$ 2.47	\$ 1.83
Impact of litigation settlement charge	-	-	-	0.14
ICRA Gain	(0.36)	-	(0.36)	-
Diluted EPS - Non-GAAP	<u>\$ 1.12</u>	<u>\$ 1.00</u>	<u>\$ 2.11</u>	<u>\$ 1.97</u>
Projected full-year ended December 31, 2014				
Diluted EPS guidance - GAAP	\$ 4.26 - 4.36			
ICRA Gain	(0.36)			
Diluted EPS guidance - Non-GAAP	<u>\$ 3.90 - 4.00</u>			

Refer to "Moody's Corporation Reports Results for Second Quarter 2014" press release for table details

Adjusted Operating Income and Adjusted Operating Margin

(amounts in millions)	Three Months Ended June 30,		Six Months Ended June 30,	
	2014	2013	2014	2013
Operating income	\$ 411.7	350.8	\$ 744.7	\$ 631.2
Depreciation & amortization	22.3	23.1	45.4	46.7
Adjusted operating income	<u>\$ 434.0</u>	<u>373.9</u>	<u>\$ 790.1</u>	<u>\$ 677.9</u>
Operating margin	47.1%	46.4%	45.4%	42.4%
Adjusted operating margin	49.7%	49.5%	48.2%	45.6%

	Full-Year Ended December 31, 2014
Operating margin guidance	42% - 43%
Depreciation and amortization	3%
Adjusted operating margin guidance	<u>45% - 46%</u>

Refer to "Moody's Corporation Reports Results for Second Quarter 2014" press release for table details

Free Cash Flow

	Six Months Ended June 30,	
	2014	2013
<i>(amounts in millions)</i>		
Net cash flows from operating activities	\$ 458.0	\$ 369.1
Capital additions	<u>(38.8)</u>	<u>(18.1)</u>
Free cash flow	<u>\$ 419.2</u>	<u>\$ 351.0</u>
Net cash used in investing activities	\$ (113.4)	\$ (19.0)
Net cash used in financing activities	\$ (501.2)	\$ (426.2)

Refer to "Moody's Corporation Reports Results for Second Quarter 2014" press release for table details

2014 Outlook

Full-year 2014 Moody's Corporation guidance		
MOODY'S CORPORATION	Current guidance as of July 25, 2014	Last publicly disclosed guidance as of May 1, 2014
Revenue	growth in the low-double-digit percent range	growth in the high-single-digit percent range
Operating expenses	growth in the high-single-digit percent range	growth in the mid-single-digit percent range
Growth in compliance and regulatory expense	Less than \$5 million	NC
Depreciation & amortization	Approximately \$100 million	NC
Operating margin	42% to 43%	NC
Adjusted operating margin	45% to 46%	NC
Effective tax rate	Approximately 33%	NC
Non-GAAP EPS	\$3.90 to \$4.00	NC
Capital expenditures	Approximately \$90 million	NC
Free cash flow	Approximately \$900 million	NC
Share repurchases	Approximately \$1 billion (subject to available cash, market conditions and other ongoing capital allocation decisions)	NC

Full-year 2014 revenue guidance		
MOODY'S INVESTORS SERVICE	Current guidance as of July 25, 2014	Last publicly disclosed guidance as of May 1, 2014
MIS global	growth in the high-single-digit percent range	growth in the mid-single-digit percent range
MIS U.S.	growth in the mid-single-digit percent range	growth in the low-single-digit percent range
MIS Non-U.S.	growth in the low-teens percent range	growth in the low-double-digit percent range
Corporate finance	growth in the low-double-digit percent range	growth in the mid-single-digit percent range
Structured finance	growth of approximately 10%	growth in the low-single-digit percent range
Financial institutions	growth in the low-single-digit percent range	growth in the mid-single-digit percent range
Public, project and infrastructure finance	growth in the high-single-digit percent range	NC
ICRA Ltd.*	Approximately \$12 million	NA
MOODY'S ANALYTICS		
MA global	growth in the mid-teens percent range	growth in the low-teens percent range
MA U.S.	growth in the low-double-digit percent range	NC
MA Non-U.S.	growth in the high-teens percent range	NC
Research, data, and analytics	growth in the high-single-digit percent range	NC
Enterprise risk solutions	growth in the mid-teens percent range	growth in the low-teens percent range
Professional services	growth of approximately 40%	growth in the low-forties percent range
NC – There is no difference between the Company's current guidance and the last publicly disclosed guidance for this item. NA – Not applicable * Due to the three month lag in consolidating ICRA's operating results, there is only one quarter of ICRA revenue included in the above table.		

Website: <http://ir.moodys.com>

Email: ir@moodys.com



© 2014 Moody's Corporation, Moody's Investors Service, Inc., Moody's Analytics, Inc. and/or their licensors and affiliates (collectively, "MOODY'S"). All rights reserved.

CREDIT RATINGS ISSUED BY MOODY'S INVESTORS SERVICE, INC. ("MIS") AND ITS AFFILIATES ARE MOODY'S CURRENT OPINIONS OF THE RELATIVE FUTURE CREDIT RISK OF ENTITIES, CREDIT COMMITMENTS, OR DEBT OR DEBT-LIKE SECURITIES, AND CREDIT RATINGS AND RESEARCH PUBLICATIONS PUBLISHED BY MOODY'S ("MOODY'S PUBLICATIONS") MAY INCLUDE MOODY'S CURRENT OPINIONS OF THE RELATIVE FUTURE CREDIT RISK OF ENTITIES, CREDIT COMMITMENTS, OR DEBT OR DEBT-LIKE SECURITIES. MOODY'S DEFINES CREDIT RISK AS THE RISK THAT AN ENTITY MAY NOT MEET ITS CONTRACTUAL, FINANCIAL OBLIGATIONS AS THEY COME DUE AND ANY ESTIMATED FINANCIAL LOSS IN THE EVENT OF DEFAULT. CREDIT RATINGS DO NOT ADDRESS ANY OTHER RISK, INCLUDING BUT NOT LIMITED TO: LIQUIDITY RISK, MARKET VALUE RISK, OR PRICE VOLATILITY. CREDIT RATINGS AND MOODY'S OPINIONS INCLUDED IN MOODY'S PUBLICATIONS ARE NOT STATEMENTS OF CURRENT OR HISTORICAL FACT. MOODY'S PUBLICATIONS MAY ALSO INCLUDE QUANTITATIVE MODEL-BASED ESTIMATES OF CREDIT RISK AND RELATED OPINIONS OR COMMENTARY PUBLISHED BY MOODY'S ANALYTICS, INC. CREDIT RATINGS AND MOODY'S PUBLICATIONS DO NOT CONSTITUTE OR PROVIDE INVESTMENT OR FINANCIAL ADVICE, AND CREDIT RATINGS AND MOODY'S PUBLICATIONS ARE NOT AND DO NOT PROVIDE RECOMMENDATIONS TO PURCHASE, SELL, OR HOLD PARTICULAR SECURITIES. NEITHER CREDIT RATINGS NOR MOODY'S PUBLICATIONS COMMENT ON THE SUITABILITY OF AN INVESTMENT FOR ANY PARTICULAR INVESTOR. MOODY'S ISSUES ITS CREDIT RATINGS AND PUBLISHES MOODY'S PUBLICATIONS WITH THE EXPECTATION AND UNDERSTANDING THAT EACH INVESTOR WILL, WITH DUE CARE, MAKE ITS OWN STUDY AND EVALUATION OF EACH SECURITY THAT IS UNDER CONSIDERATION FOR PURCHASE, HOLDING, OR SALE.

MOODY'S CREDIT RATINGS AND MOODY'S PUBLICATIONS ARE NOT INTENDED FOR USE BY RETAIL INVESTORS AND IT WOULD BE RECKLESS FOR RETAIL INVESTORS TO CONSIDER MOODY'S CREDIT RATINGS OR MOODY'S PUBLICATIONS IN MAKING ANY INVESTMENT DECISION. IF IN DOUBT YOU SHOULD CONTACT YOUR FINANCIAL OR OTHER PROFESSIONAL ADVISER.

ALL INFORMATION CONTAINED HEREIN IS PROTECTED BY LAW, INCLUDING BUT NOT LIMITED TO, COPYRIGHT LAW, AND NONE OF SUCH INFORMATION MAY BE COPIED OR OTHERWISE REPRODUCED, REPACKAGED, FURTHER TRANSMITTED, TRANSFERRED, DISSEMINATED, REDISTRIBUTED OR RESOLD, OR STORED FOR SUBSEQUENT USE FOR ANY SUCH PURPOSE, IN WHOLE OR IN PART, IN ANY FORM OR MANNER OR BY ANY MEANS WHATSOEVER, BY ANY PERSON WITHOUT MOODY'S PRIOR WRITTEN CONSENT.

All information contained herein is obtained by MOODY'S from sources believed by it to be accurate and reliable. Because of the possibility of human or mechanical error as well as other factors, however, all information contained herein is provided "AS IS" without warranty of any kind. MOODY'S adopts all necessary measures so that the information it uses in assigning a credit rating is of sufficient quality and from sources MOODY'S considers to be reliable including, when appropriate, independent third-party sources. However, MOODY'S is not an auditor and cannot in every instance independently verify or validate information received in the rating process or in preparing the Moody's Publications.

To the extent permitted by law, MOODY'S and its directors, officers, employees, agents, representatives, licensors and suppliers disclaim liability to any person or entity for any indirect, special, consequential, or incidental losses or damages whatsoever arising from or in connection with the information contained herein or the use of or inability to use any such information, even if MOODY'S or any of its directors, officers, employees, agents, representatives, licensors or suppliers is advised in advance of the possibility of such losses or damages, including but not limited to: (a) any loss of present or prospective profits or (b) any loss or damage arising where the relevant financial instrument is not the subject of a particular credit rating assigned by MOODY'S.

To the extent permitted by law, MOODY'S and its directors, officers, employees, agents, representatives, licensors and suppliers disclaim liability for any direct or compensatory losses or damages caused to any person or entity, including but not limited to by any negligence (but excluding fraud, willful misconduct or any other type of liability that, for the avoidance of doubt, by law cannot be excluded) on the part of, or any contingency within or beyond the control of, MOODY'S or any of its directors, officers, employees, agents, representatives, licensors or suppliers, arising from or in connection with the information contained herein or the use of or inability to use any such information.

NO WARRANTY, EXPRESS OR IMPLIED, AS TO THE ACCURACY, TIMELINESS, COMPLETENESS, MERCHANTABILITY OR FITNESS FOR ANY PARTICULAR PURPOSE OF ANY SUCH RATING OR OTHER OPINION OR INFORMATION IS GIVEN OR MADE BY MOODY'S IN ANY FORM OR MANNER WHATSOEVER.

MIS, a wholly-owned credit rating agency subsidiary of Moody's Corporation ("MCO"), hereby discloses that most issuers of debt securities (including corporate and municipal bonds, debentures, notes and commercial paper) and preferred stock rated by MIS have, prior to assignment of any rating, agreed to pay to MIS for appraisal and rating services rendered by it fees ranging from \$1,500 to approximately \$2,500,000. MCO and MIS also maintain policies and procedures to address the independence of MIS's ratings and rating processes. Information regarding certain affiliations that may exist between directors of MCO and rated entities, and between entities who hold ratings from MIS and have also publicly reported to the SEC an ownership interest in MCO of more than 5%, is posted annually at www.moody's.com under the heading "Shareholder Relations — Corporate Governance — Director and Shareholder Affiliation Policy."

For Australia only: Any publication into Australia of this document is pursuant to the Australian Financial Services License of MOODY'S affiliate, Moody's Investors Service Pty Limited ABN 61 003 399 657AFSL 336969 and/or Moody's Analytics Australia Pty Ltd ABN 94 105 136 972 AFSL 383569 (as applicable). This document is intended to be provided only to "wholesale clients" within the meaning of section 761G of the Corporations Act 2001. By continuing to access this document from within Australia, you represent to MOODY'S that you are, or are accessing the document as a representative of, a "wholesale client" and that neither you nor the entity you represent will directly or indirectly disseminate this document or its contents to "retail clients" within the meaning of section 761G of the Corporations Act 2001. MOODY'S credit rating is an opinion as to the creditworthiness of a debt obligation of the issuer, not on the equity securities of the issuer or any form of security that is available to retail clients. It would be dangerous for "retail clients" to make any investment decision based on MOODY'S credit rating. If in doubt you should contact your financial or other professional adviser.